Group Project I

This is an in-class project; however, you must carefully investigate data sources and steps needed to complete this project before class. You may work on this project with your group. Please join a group on Bb. Each group member takes responsibility for every part of the project. You only need to hand in one copy of the project for each group. Please include the names of the group members on the cover page. It is crucial that each group works independently. Maximum 100 points.

Note: The data for this project can be obtained via Bloomberg. Bloomberg provides a lot of help resources on how to obtain the data, including live chats.

Part I. Term Structure Analysis

A. Using current Treasury bond prices, construct spot curves. First, use linear interpolation to derive a spot curve. Then, use cubic interpolation to derive a spot curve.

B. Use current swap rates to derive a spot curve.

C. Use the spot curves derived in steps A and B to identify potentially mispriced securities. Comment on your findings.

Part II. TIPS

This part of the project is based on the research paper "TIPS- Treasury Bond Puzzle" posted on the course website. Please see the Topic 3 folder.

A. Read the research paper carefully. Pay extra attention to sections I and II (p. 6-12). These sections provide a detailed explanation of how to develop the Synthetic Treasury Bond Replicating Strategy.

B. Use current U.S Treasury bonds, TIPS, STRIPS and inflation swaps data and develop the Synthetic Treasury Bond Replicating Strategy. Table II in the paper presents an example of the strategy. Please present your analysis using the Table II format. Show your calculations, the data used and comment on your findings.

Important: *Your submission should include the cover page, a summary of all your findings for Part I and Part II, and supporting materials such as data files, data sources, codes in PDF format and/or Excel spreadsheets.*